

Accordingly, the hearing on the demurrer is continued to _____. Moving Defendants are ordered to meet and confer with Plaintiff by telephone or in person for the purpose of determining whether an agreement can be reached that would resolve the objections raised in the demurrer. As part of the meet and confer process, Defendants shall identify with legal support the basis of the alleged deficiencies in the subject pleadings. Plaintiff shall provide legal support for his position that the pleadings are legally sufficient or, in the alternative, how they may be further amended to cure any legal insufficiencies.

After meeting and conferring, Defendants shall, 10 days before the continued hearing date, set above do one of the following:

- (1) vacate the hearing on the demurrer;
- (2) file with the Court a declaration stating the parties have agreed that Plaintiff will file an amended pleading/claim for damages before the date set forth above; or
- (3) file with the court a declaration stating how the parties met and conferred and identifying the specific objections in the demurrer and supporting memorandum of points and authorities that the parties were unable to resolve.

The Court will not accept further briefing.

CASE #	CASE NAME	HEARING NAME
CVME2600110	PARK VS K. HOVNANIAN'S FOUR SEASONS AT HEMET COMMUNITY ASSOCIATION	MOTION TO AMEND FIRST AMENDED COMPLAINT

Tentative Ruling: Continued (See above)

9.

CASE #	CASE NAME	HEARING NAME
CVME2605810	SALEK VS MERCEDES-BENZ	MOTION TO COMPEL ARBITRATION BY MERCEDES-BENZ

Tentative Ruling: DENY

This is a lemon law case where Plaintiff, Farnaz Salek, alleges that on 3/14/24, he leased a new 2023 Mercedes-Benz EQS 450+ from Mercedes-Benz of Temecula, which was accompanied by a warranty issued by Defendant, Mercedes-Benz USA, LLC (MBUSA). Plaintiff alleges the vehicle was delivered with serious defects and nonconformities to warranty. He presented the vehicle to Defendant's authorized repair facility but, they were unable to conform the vehicle to warranties after a reasonable number of repair attempts. Plaintiff filed his Complaint on 3/23/26 alleging three causes of action for violations of the Song Beverly Consumer Warranty Act (SBCWA): 1) breach of express warranty; 2) breach of implied warranty; and 3) violation of Civil Code § 1793.2.

Defendant MBUSA brings this motion to compel arbitration and to stay the civil action pending arbitration pursuant to an arbitration agreement between the parties. (Federal Arbitration Act [FAA] 9 USC §§ 1-16; California Arbitration Act [CAA] CCP § 1281, *et. seq.*) MBUSA asserts that the subject Arbitration Agreement (AA) exists, is valid, enforceable, and covers all of Plaintiff's alleged claims. MBUSA argues that it may enforce the AA as a named intended third-party beneficiary between the parties as lessee and warrantor arising from execution of the lease; and, that any question about scope or arbitrability must be resolved by the arbitrator pursuant to the AA's delegation clause.

Plaintiff opposes the motion arguing that MBUSA has no standing to invoke arbitration in this matter because it is neither a signatory nor an intended third-party beneficiary to the lease, which is between Plaintiff (lessee) and the non-party signatory dealership – Mercedes-Benz of Temecula; that MBUSA does not benefit at all from the lease; that equitable estoppel does not apply to the AA in this case; and, that *Felisilda v. FCA US LLC* (2020) 53 Cal.App.5th 486 is not controlling here.

The Reply asserts that the Opposition spends most of its time arguing that equitable estoppel is unavailable and that *Felisilda* is bad law but, MBUSA moved on one ground – that it is a third-party beneficiary; that the Opposition refers to a different contract – a financing contract as well as a dealership in Encino and Mercedes-Benz of Los Angeles when the dealer is Mercedes-Benz of Temecula⁴; that the Opposition ignores the delegation clause; that Plaintiff’s objections are directed to the declaration of Ali Ameripour, who has not appeared in this action; and re-asserts prior arguments.

Upon the petition/motion of a party to an agreement to arbitrate, the court must grant a petition to compel arbitration unless it finds: no written agreement to arbitrate exists; the right to compel arbitration has been waived; grounds exist for revocation of the agreement; or litigation is pending that may render the arbitration unnecessary or create conflicting rulings on common issues. (CCP § 1281.2.) A proceeding to compel arbitration is in essence a suit in equity to compel specific performance of a contract. (*Freeman v. State Farm Mutual Auto Insurance Co.* (1975) 14 Cal.3d 473, 479.) The petition/motion to compel must set forth the provisions of the written agreement and the arbitration clause verbatim, or such provisions must be attached and incorporated by reference. (CRC rule 3.1330; *see also Condee v. Longwood Mgmt. Corp.* (2001) 88 Cal.App.4th 215, 218–19.) The party seeking arbitration must prove the existence of the arbitration agreement. (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2015) 55 Cal.4th 223, 236.) The burden then shifts to the opposing party to prove any defense such as unconscionability. (*Id.*)

“In ruling on a petition to compel arbitration, the trial court may consider evidence on factual issues relating to the threshold issue of arbitrability Parties may submit declarations when factual issues are tendered with a motion to compel arbitration.” (*Engineers & Architects*

⁴ The references to parties other than Mercedes-Benz of Temecula appear to be typos.

Assn. v. Community Development Dept. (1994) 30 Cal.App.4th 644, 653.) In the summary proceedings on a motion to compel arbitration, “the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court's discretion, to reach a final determination.” (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972.)

Federal and state policy favors arbitration such that “when there is doubt as to the meaning and construction of an agreement for mediation and/or arbitration, that doubt should be resolved in favor of those processes.” (*Bono v. David* (2007) 147 Cal. App. 4th 1055, 1062.)

There is no dispute as to whether the FAA applies to the AA in this case. The FAA governs arbitration in written contracts involving interstate commerce, and provides that arbitration agreements are valid, irrevocable, and unenforceable unless there are grounds that exist at law or in equity for the revocation of any contract. (9 USC § 2; *Rittmann v. Amazon.com, Inc.* (9th Cir. 2020) 971 F.3d 904, 909.) The FAA embodies a strong federal policy favoring arbitration. To assure uniform results as to arbitrability of disputes subject to the Act, conflicting state law is preempted under the Supremacy Clause. (*Southland v. Corp. v. Keating* (1984) 465 U.S. 1, 12.) The party claiming that the contract involves interstate commerce and the FAA preempts state law has the burden of proving that the underlying transaction involved interstate commerce. (*Woolls v. Sup. Ct. (Turner)* (2005) 127 Cal.App.4th 197, 211-214.) Importantly, the FAA applies when an arbitration agreement expressly states that it is governed by the FAA. (*Aviation Data, Inc. v. Am. Express Travel Related Servs. Co., Inc.* (2007) 152 Cal.App.4th 1522, 1534-1535; *Victrola 89, LLC v. Jaman Properties 8 LLC* (2020) 46 Cal.App.5th 337, 355.)

Here, the AA *expressly* states that it is governed by the FAA. (Dec.Leung ¶ 2, Ex. “1”, Motor Vehicle Lease Agreement (Lease), p. 4 of 10 [p. 7 of 26].)

MBUSA asserts that this Court lacks jurisdiction to determine the scope and enforceability of the arbitration agreement based on the AA, which contains a delegation clause. The general rule is that the courts decide disputes about arbitrability unless the parties agree to delegate the issue of arbitrability to the arbitrator. (*Aanderud v. Superior Court* (2017) 13 Cal.App.5th 880, 891-892.) To be effective, the language “must be clear and unmistakable” and there must be no “contract defense such as fraud, duress, or unconscionability.” (*Id.* at 892, 894.) This is a heightened standard of proof. (*Id.* at 892.)

Here, the AA provides:

Any claim or dispute, whether in contract, tort or otherwise (**including any dispute over the interpretation, scope, or validity of this lease, arbitration section or the arbitrability of any issue**), between you and us or any of our employees, agents, successors, assigns, or the vehicle distributor, including Mercedes-Benz USA LLC (each a “Third Party Beneficiary”), which arises out of or relates to a credit application, this lease, or any resulting transaction or relationship arising out of this lease (including any such relationship with third parties who do not sign this contract) **shall**, at the election of either you, us, or a Third Party Beneficiary, **be resolved by a neutral, binding arbitration and not by a court action.** (Dec.Leung ¶ 2, Ex. “1”, Lease, p. 4 of 10 [p. 7 of 26.]) (Emphasis added.)

Thus, the AA includes a delegation clause. Plaintiff does not address MBUSA’s argument that there is a delegation clause. In addition, as discussed above, the FAA applies, and the subject arbitration agreement shows a clear and unmistakable agreement to send the issue of arbitrability to the arbitrator. However, there also must not be a contract defense (*lack of agreement*, fraud, duress, unconscionability.)

MBUSA asserts that Plaintiff agreed to arbitrate his claims relating to the subject leased vehicle. (Dec.Leung ¶ 2, Ex. “1”.) There is no dispute that Plaintiff signed the Lease, which contains the AA. (*Ibid.*) To the contrary, Plaintiff asserts that MBUSA lacks standing to invoke arbitration in this matter because it is neither a signatory nor an intended third-party beneficiary of the Lease. The only parties to the Lease are Plaintiff and the non-party seller/dealership, Mercedes-Benz of Temecula. MBUSA is not, and does not claim to be an employee, agent, successor or

assign of the non-party seller/dealership. Nonetheless, MBUSA argues that since the AA specifically names it as a “Third Party Beneficiary”, Plaintiff is required to arbitrate the matter.

The general rule is that only a party to an arbitration agreement may enforce its terms; however, the law recognizes an exception where the non-party is a third-party beneficiary to the agreement. (*Ronay Family Limited Partnership v. Tweed* (2013) 216 Cal.App.4th 830, 837-38; *see also Jones v. Jacobson* (2011) 195 Cal.App.4th 1, 17-18 [arbitration agreement may be enforced by nonsignatories when the nonsignatory is a third-party beneficiary of the agreement, and when a preexisting agency relationship makes it fair to allow the nonsignatory to impose the duty to arbitrate].)

A third-party beneficiary may enforce a contract made expressly for its benefit where the intent to benefit the third person appears from the terms of the contract. (*Macaulay v. Norlander* (1992) 12 Cal.App.4th 1, 7-8; *Jensen, supra*, 18 Cal.App.5th at 301.) “Whether the third party is an intended beneficiary or merely an incidental beneficiary involves construction of the intention of the parties, gathered from reading the contract as a whole in light of the circumstances under which it was entered.” (*Cione v. Foresters Equity Services* (1997) 58 Cal.App.4th 625, 636 [internal citation omitted]; *see also Epitech, Inc. v. Kann* (2012) 24 Cal.App.4th 1365, 1371-1372.) “A contract, made expressly for the benefit of a third person, may be enforced by him at any time before the parties thereto rescind it.” (Civ. Code § 1559.) A third party need not be named in the contract – he merely must show he is a member of the class for which the benefit was made for. (*Prouty v. Gores Technology Group* (2004) 121 Cal.App.4th 1225, 1222.) The test is whether there is a clearly manifested intent to benefit a third party that appears from the terms of the contract. (*Id.*; *Schauer v. Mandarin Gems of California, Inc.* (2005) 125 Cal.App.4th 949, 957-958.)

The applicable test is outlined in *Goonewardene v. ADP, LLC* (2019) 6 Cal.5th 817, 829-830, which provides that a non-signatory such as MBUSA may enforce an arbitration agreement

where the express provisions show that (1) the third party would benefit from the contract, (2) a motivating purpose of the contracting parties was to provide a benefit to the third party, and (3) allowing the third party to enforce such contract is consistent with the objectives of the contract and the reasonable expectations of the contracting parties.

Importantly, Plaintiff's Complaint contains three causes of action, each for a violation of the Song Beverly Act against only MBUSA. As indicated above, MBUSA is **not** a party to the Lease. MBUSA argues that since it is designated as a "Third Party Beneficiary", it is entitled to enforce the AA. This assertion alone is not dispositive.

In addition, MBUSA asserts that "[r]eading the contract as a whole, it is clear MBUSA is an intended third-party beneficiary" (Motion p. 6:21-24.) However, it is not clear. MBUSA has not demonstrated it would benefit from the Lease, that a motivating purpose of the contracting parties (Plaintiff and the seller/dealership) was to benefit MBUSA, or that compelling arbitration is consistent with the objective of the contract and reasonable expectations of the parties. (*Goonewardene, supra.*) This is particularly true since MBUSA is not a party to the Lease.

Further, MBUSA argues that Plaintiff's claims arise out of the Lease and the "'resulting" warranty relationship that followed execution of the Lease." (Motion p. 6:24-26.) The AA provides arbitration for "[a]ny claim or dispute ... which arises out of or relates to a credit application, this lease, or any resulting transaction or relationship arising out of this lease". (Dec. Leung ¶ 2, Ex. "1", Lease, p. 4 of 10 [p. 7 of 26.]) (Emphasis added.) It does not address any warranty relationship whatsoever.

This is particularly telling because warranties are different from contracts. Warranties, unlike contracts, do not impose binding obligations on the buyer. (*See Weinstat v. Dentsply Int'l, Inc.* (2010) 180 Cal.App.4th 1213, 1228-1229.) "A warranty relates to the title, character, quality, identity, or condition of the goods. The purpose of the law of warranty is to determine what it is

that the seller has in essence agreed to sell.” (*Keith v. Buchanan* (1985) 173 Cal.App.3d 13, 20.) Based on those warranties, the seller is bound to deliver and the buyer to accept goods that match the warranties made. (*Ibid.*) Written warranties are merely a written statement of promises made to the consumer prior to a purchase, which constitute a declaration of the facts presented or promises made to the consumer in connection with the sale of goods. (Commercial Code, § 2313; Civil Code, §§ 1791.2, 1790.3; 15 U.S.C. § 2301(6).)

Accordingly, while the seller may be held to the promises/warranties it made to a consumer prior to the sale of a vehicle, the written warranties do not constitute a contract between the manufacturer and the buyer. Rather, it is the retail installment sales contract or lease agreement that evidences the transaction. MBUSA has not established any warranty relationship or transaction between it and Plaintiff. Moreover, Plaintiff did not agree to arbitrate any claims she may have against MBUSA, and her claims are statutory Song-Beverly claims not claims arising from the Lease. (see *Ford Motor Warranty Cases* (2025) 17 Cal.5th 1122, 1138 [Ford could not compel plaintiffs to arbitrate their claims where the agreement does not support an agreement to arbitrate with third parties **and** the claims do not flow from the contract, but separate statutory requirements].)

Plaintiff also persuasively argues that equitable estoppel does not apply here. Under the doctrine of equitable estoppel, a party to an arbitration agreement may be required to arbitrate with a nonparty. (*JSM Tuscany, LLC v. Superior Court* (2011) 193 Cal.App.4th 1222, 1237.) However, a nonsignatory may enforce an arbitration clause on grounds of equitable estoppel *only* when the claims against the nonsignatory are “dependent upon, or founded in and inextricably intertwined with, the underlying contractual obligations of the agreement containing the arbitration clause.” (*Goldman v. KPMG LLP* (2009) 173 Cal.App.4th 209, 217-218.) Thus, the doctrine applies in two circumstances: (1) when the signatory must depend on the written agreement providing for

arbitration in asserting claims against the nonsignatory; or (2) when the signatory alleges “substantially interdependent and concerted misconduct” by the nonsignatory and a signatory and the alleged misconduct is “founded in or intimately connected with the obligations of the underlying agreement.” (*Id.* at 218-219; see also, *Ngo v. BMW of North America, LLC* 23 F.4th 942, 949-950 (9th Cir. 2022) [a non-signatory manufacturer to an arbitration agreement has no standing to compel arbitration in the context of a Song Beverly case under the doctrine of equitable estoppel].) MBUSA has not demonstrated either of these circumstances. Based on the foregoing, the motion is denied.